Bridgepath Capital
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Malawi Financial Market Update

Week ending 21 January 2022

Financial Market Update: Week ending 21 January 2022

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Government securities (Source: RBM)

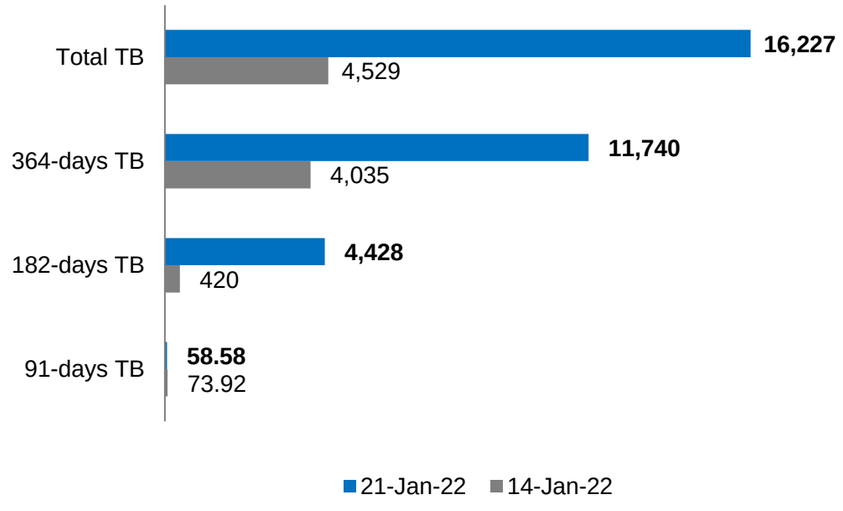
A total of MK22.12 billion was awarded in this week's auctions of Treasury Bills (TBs) and 10-year Treasury Note (TN).

MK16.23 billion and MK5.89 billion was awarded in the TBs and 10-year TN auctions, respectively.

The TBs auctions had a rejection rate of 0.003% while the 10-year TN auction had a nil rejection rate.

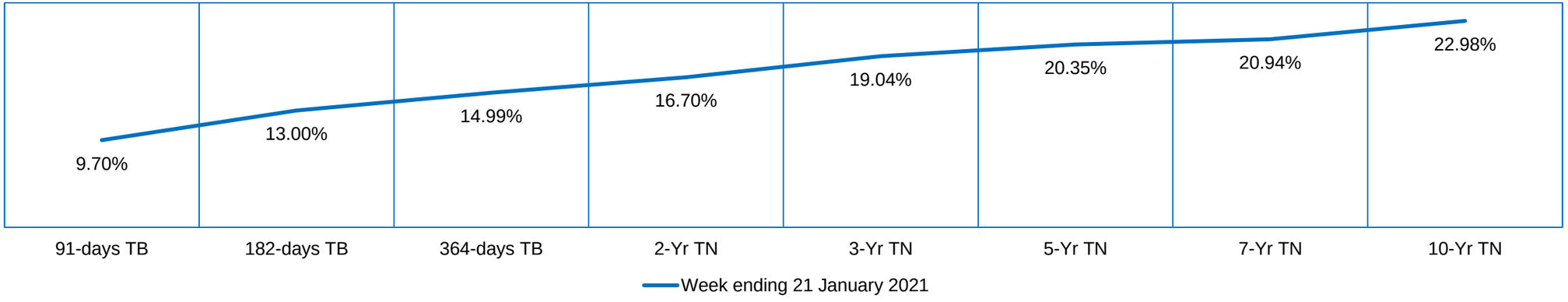
The average TB yield increased to 12.56% from 12.47%. The average TN yield increased to 20.00% from 19.91%.

Treasury Bills awarded (MK'million)



10-year TN applications and awards (MK'billion)

Government securities yield (%)



TB: Treasury Bill
TN: Treasury Note

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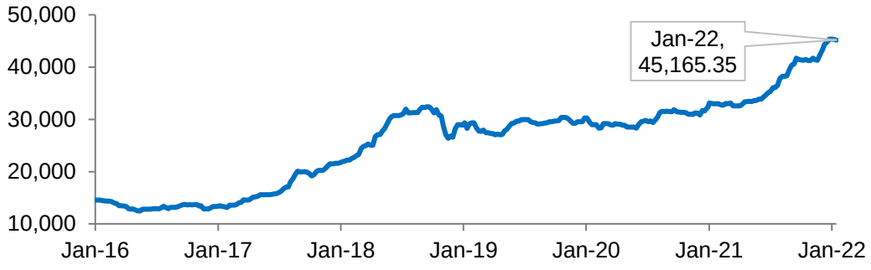
Stock market (Source: MSE)

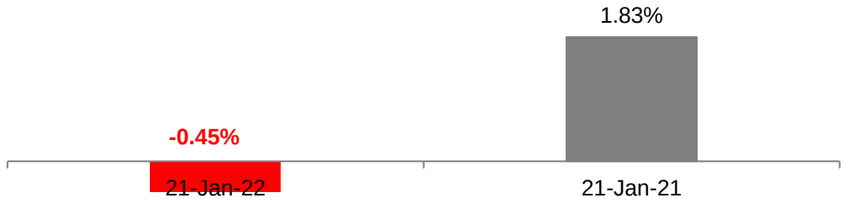
The stock market was bearish over the period with the Malawi All Share Index (MASI) closing the week ending 21 January 2022 at 45,165.35 points from 45,316.01 points for the week ending 14 January 2022. Week-on-week, this represents a decrease of 0.33%.

There was a share price loss for TNM and marginal share price losses for FDH Bank and ILLOVO during the period under review. The share price losses offset marginal share price gains for AIRTEL, NBS, NBM and Standard Bank during the period under review.

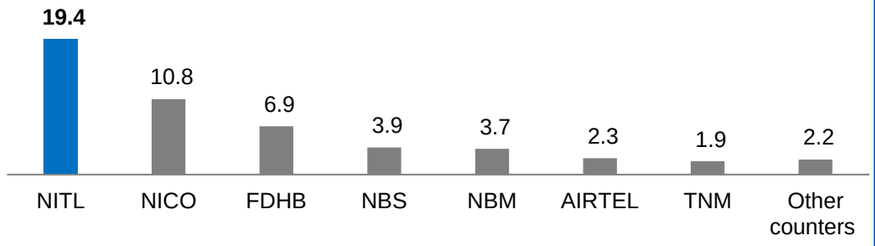
Malawi All Share Index (MASI)



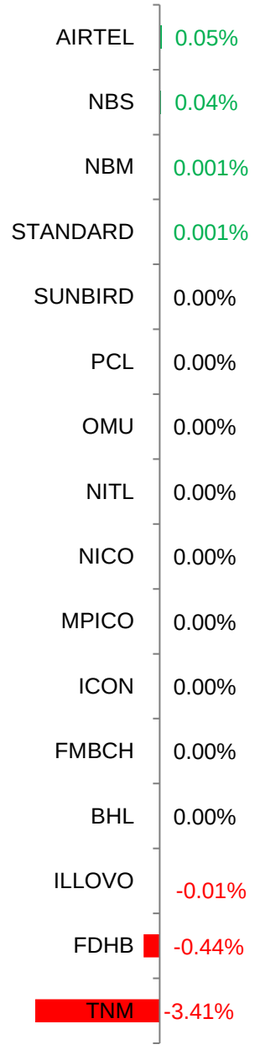
MASI year-to-date return (%) – the MASI closed the week with a year-to-date return of negative 0.45% (it was 1.83% during the same period in the previous year).



Value of shares traded (MK'million) – NITL and NICO had the highest value of shares traded during the period under review at MK19.4 million and MK10.8 million, respectively. The total value of shares traded was MK51.2 million.



Week-on-week share price gains/losses (%)



Symbol	Closing prices as at 21 January 2022 (MK/share)
AIRTEL	40.03
BHL	11.01
FDHB	15.73
FMBCH	79.98
ICON	12.85
ILLOVO	299.97
MPICO	20.70
NBM	810.13
NBS	22.89
NICO	55.00
NITL	94.98
OMU	1,785.00
PCL	1,900.00
STANDARD	1,400.03
SUNBIRD	90.02
TNM	22.08

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Foreign currency market and other market developments (Source: RBM, NSO)

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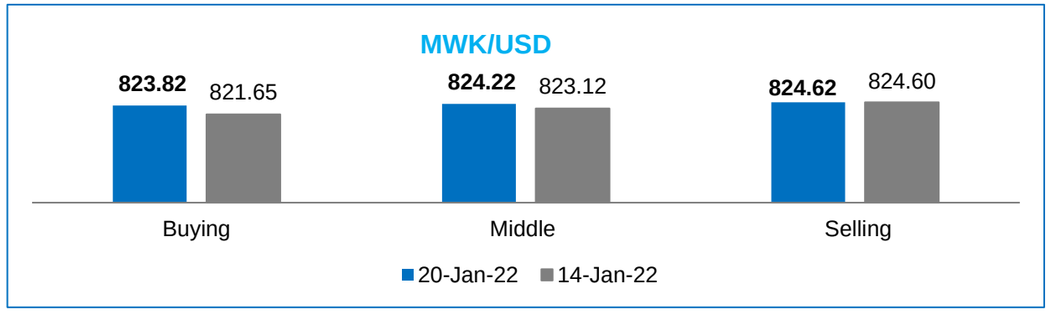
Headline inflation increased to 11.5% in December 2021 from 11.1% in November 2021 on account of an increase in food inflation. Average annual headline inflation for 2021 was 9.3%, an increase from 8.6% in 2020.

Year-to-date, the Malawi Kwacha has depreciated against the United States Dollar by 0.60%.

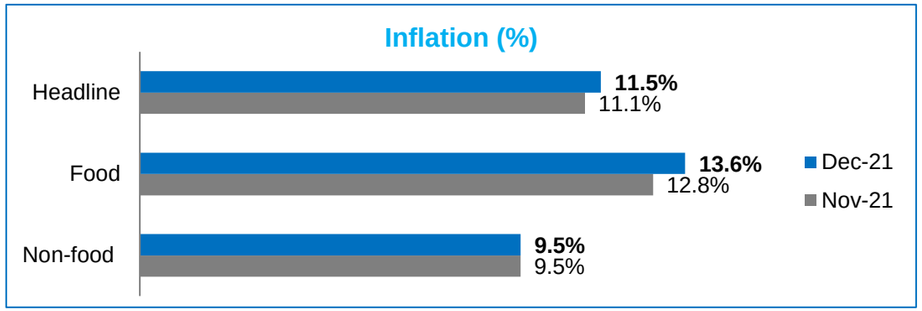
Week-on-week, the Malawi Kwacha marginally depreciated against the USD by 0.13% and traded at MK824.22/USD as at 20 January 2022 from MK823.12/USD as at 14 January 2022.

NBS plc expect their profit after tax for the year ended 31 December 2021 to be MK8.46 billion, an increase of 20% from a profit after tax of MK7.05 billion in the previous year.

Foreign currency (Source: RBM)



Inflation (Source: NSO)



Corporate Announcements

Financial year Trading Statements

The following companies wish to advise the public that their profit/loss after tax for the financial year is expected to be higher or lower than the previous corresponding period by the specified amount.

Amounts in billions of Malawi Kwacha unless specified otherwise.

Counter	31 December 2021	31 December 2020	Trading statement profit/loss expectation
Press Corporation Plc	29.8	19.9	50%
FMBCH Plc (USD'million)	29.8	21.3	40%
Sunbird Tourism Plc	0.59	(1.18)	150%
Airtel Malawi Plc	29.82	22.09	35%
MPICO plc	6.08	4.34	40%
BHL plc	(0.87)	(0.45)	(93%)
TNM plc	9.28	7.73	20%
NBM plc	29.19	22.45	30%
NITL plc	4.44	1.48	200%
NBS plc	8.46	7.05	20%

Dividends

Counter	Dividend type	Proposed/ declared	Dividend per share (MK)	Last day to register	Date of payment
Illovo	Final	Proposed	4.00	11 March 2022	31 March 2022

What happened this week?

- Headline inflation increased to 11.5% in December 2021 from 11.1% in November 2021 on account of an increase in food inflation. Food inflation increased to 13.6% from 12.8% while non-food inflation maintained its position at 9.5% (*NSO*).
- Britam Insurance is in the process of refunding MK60 million to delisted Real Insurance Shareholders who have not yet claimed their money. To claim the funds, shareholders are to contact CBE Southern Africa to facilitate the refund (*Malawi Stock Exchange*).
- The Ministry of Finance has said the 2022-23 National Budget will focus on reducing total public debt, which is hovering around MK5.5 trillion, while implementing the 10-year Malawi 2063 development plan. The National Budget is expected to be presented in February 2022 (*The Daily Times, 18-Jan-2022*).
- Stakeholders in the tobacco industry expressed fear that the country may not be able to meet the demand for tobacco in the 2021-22 season due to sporadic rains. Tobacco remains Malawi's major foreign exchange earner, therefore, reduced production could entail reduced earnings and a weakened foreign exchange reserve position (*The Daily Times, 19-Jan-2022*).

USD – United States Dollar

Note: The reported closing rates are actual trade-weighted market average Telegraphic Transfer rates.

Appendix 1: Historical Economic Indicators

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	Sep-20	Oct-20	Nov-20	Dec-20	Jan-21	Feb-21	Mar-21	Apr-21	May-21	Jun-21	Jul-21	Aug-21	Sep-21	Oct-21	Nov-21	Dec-21	Week ending 21 January 2022
Exchange rates (middle rates)																	
MK/USD	756.93	759.47	765.92	776.82	776.49	787.03	790.30	797.66	800.17	811.95	817.43	820.40	822.17	821.34	822.88	818.44	**824.22**
MK/GBP	999.88	1,015.11	1,061.76	1,070.14	1,107.24	1,140.90	1,139.62	1,164.37	1,191.58	1,192.94	1,203.74	1,196.67	1,168.72	1,201.21	1,194.23	1,208.01	**1,270.22**
MK/EUR	928.35	925.23	958.34	987.95	991.78	1,006.72	993.04	1,035.48	1,042.52	1,032.04	1,048.56	1,044.60	1,026.14	1,037.74	1,099.91	1,138.47	**1,179.01**
MK/ZAR	47.33	49.18	53.09	56.43	54.60	55.69	56.13	59.33	62.28	61.42	60.79	60.90	58.90	59.04	57.21	57.68	**62.40**
Foreign Exchange Reserves																	
Gross Official Reserves (USD'mn)	546.99	635.05	584.89	574.26	502.98	483.38	410.16	392.01	414.41	424.99	404.18	604.50	521.87	405.66	389.26	429.17	-
Private Sector Reserves (USD'mn)	318.47	340.22	332.51	377.97	358.29	340.50	342.58	392.61	369.64	388.78	405.79	389.47	386.05	384.75	404.81	425.52	-
Total reserves (USD'mn)	865.46	975.27	917.4	952.23	861.27	823.88	752.74	784.62	784.05	813.77	809.97	993.97	907.92	790.41	794.07	854.69	-
Gross Official Reserves Import cover (months)	2.62	3.04	2.80	2.75	2.41	2.31	1.96	1.88	1.77	1.70	1.62	2.42	2.09	1.62	1.56	1.72	-
Inflation																	
Headline	7.10%	7.50%	7.30%	7.60%	7.70%	8.30%	9.40%	9.2%	8.9%	9.1%	8.7%	8.4%	8.9%	9.8%	11.1%	11.5%	-
Food	10.30%	10.90%	10.40%	10.50%	9.70%	10.30%	11.70%	11.5%	11.0%	11.1%	10.3%	9.7%	10.9%	11.8%	12.8%	13.6%	-
Non-food	4.40%	4.40%	4.40%	4.90%	5.60%	6.30%	6.90%	7.0%	7.1%	7.2%	7.2%	7.2%	7.2%	7.8%	9.5%	9.5%	-
Interest Rates																	
Monetary Policy rate	13.50%	13.50%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	**12.00%**
Average Interbank rate	13.61%	13.62%	12.51%	11.41%	11.34%	10.67%	11.37%	11.72%	13.36 %	11.94%	11.96%	11.98%	11.98%	11.98%	11.98%	11.98%	**11.70%**
Average base lending rate	13.60%	13.60%	13.60%	12.30%	12.10%	12.00%	11.90%	12.10%	12.10%	12.20%	12.20%	12.20%	12.20%	12.20%	12.20%	12.20%	**12.20%**
Government Securities' Yields																	
91-days Treasury Bill	9.94%	9.95%	9.95%	9.95%	9.95%	9.95%	9.95%	9.88%	9.98%	9.62%	9.33%	9.60%	9.59%	9.60%	9.58%	9.70%	**9.70%**
182-days Treasury Bill	12.58%	12.87%	12.73%	12.49%	12.59%	12.80%	12.80%	12.77%	12.80%	12.81%	12.96%	12.96%	12.98%	12.98%	12.98%	13.00%	**13.00%**
364-days Treasury Bill	13.74%	13.88%	13.40%	13.53%	13.64%	13.77%	13.80%	13.80%	13.83%	13.87%	12.06%	14.08%	14.20%	14.20%	14.22%	14.47%	**14.99%**
2-year Treasury Note	16.46%	16.46%	16.46%	16.46%	16.50%	16.50%	16.50%	16.50%	16.51%	16.65%	16.63%	16.63%	16.63%	16.64%	16.64%	16.66%	**16.70%**
3-year Treasury Note	18.02%	18.47%	17.79%	18.30%	18.56%	18.66%	18.66%	18.80%	18.80%	18.97%	19.00%	18.99%	18.99%	18.99%	19.00%	19.05%	**19.04%**
5-year Treasury Note	19.82%	19.82%	19.82%	19.77%	19.95%	19.97%	19.98%	19.98%	19.98%	20.08%	20.00%	20.09%	20.26%	20.44%	20.53%	20.54%	**20.35%**
7-year Treasury Note	20.75%	20.75%	19.95%	20.00%	20.00%	20.50%	20.50%	20.50%	20.50%	20.59%	20.98%	21.36%	21.36%	21.36%	21.15%	20.94%	**20.94%**
10-year Treasury Note	22.14%	22.14%	22.14%	22.50%	22.50%	22.50%	22.50%	22.50%	22.50%	21.85%	22.54%	23.01%	23.25%	23.00%	22.50%	22.50%	**22.98%**
Stock Market Indices																	
MASI	31,743.36	31,303.78	31,225.08	32,392.84	32,988.58	33,009.75	32,562.96	33,380.63	33,676.89	35,144.56	36,496.03	38,945.62	41,550.15	41,458.37	41,565.98	45,367.68	**45,165.35**
DSI	27,101.51	26,787.57	26,717.15	27,755.46	28,090.02	28,108.19	27,710.72	28,257.89	28,376.03	28,739.26	29,749.56	31,959.22	34,266.54	34,188.36	34,284.11	37,061.70	**36,912.92**
FSI	1,460.99	1,362.39	1,362.89	1,363.88	1,613.58	1,614.45	1,614.33	1,844.72	2,030.51	3,234.45	3,479.97	3,479.97	3,450.70	3,450.25	3,450.24	4,223.15	**4,183.22**

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